

Al Mezan Bureau

Public Accountants and Consultants
Bahrain and Qatar

RSM!

Mindteck Middle East Limited SPC

Financial statements and
Independent auditor's report
For the year ended 31 March 2013

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Mindteck Middle East Limited SPC
General information

Commercial registration number:	49063-01
Directors:	Simon Christopher Dayananda Somaya Shetty Rohit Bahadur
Registered office:	PO Box 10795 Flat 44, Building 81 Road 1702, Block 317 Manama Kingdom of Bahrain
Banker:	HSBC Middle East Limited
Auditor:	Al Mezan Bureau PO Box 11816 3 rd Floor, Falcon Tower Diplomatic Area Kingdom of Bahrain

Independent auditor's report
To the Owner of Mindteck Middle East Limited SPC

Report on the financial statements

We have audited the accompanying financial statements of **Mindteck Middle East Limited SPC** ("the Company"), which comprise the statement of financial position as at 31 March 2013, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2013, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

(Continued on page 4)

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree Number 21 of 2001, we report that we have obtained all the information we considered necessary for the purpose of our audit; and the Company has maintained proper books of account and the financial statements are in agreement therewith; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, Decree Number 21 of 2001, or of its Articles of Association, which would materially affect its activities, or its financial position as at 31 March 2013.

Al Mezan Bureau.

21 May 2013
Manama, Kingdom of Bahrain

Mindteck Middle East Limited SPC
Statement of financial position
As at 31 March 2013

(in Bahraini Dinars)

	Note	2013	2012
Assets			
Non-current assets			
Property, plant and equipment	5	1,333	2,044
		<u>1,333</u>	<u>2,044</u>
Current assets			
Trade and other receivables	6	75,918	71,726
Advances and prepayments	7	1,966	3,349
Bank balance	8	49,854	36,241
		<u>127,738</u>	<u>111,316</u>
Total assets		<u>129,071</u>	<u>113,360</u>
Equity and liabilities			
Share capital	9	50,000	50,000
Statutory reserve	10	10,538	10,519
Retained earnings		(55,534)	(55,701)
		<u>5,004</u>	<u>4,818</u>
Non-current liabilities			
Employee terminal benefits	11	2,250	445
		<u>2,250</u>	<u>445</u>
Current liabilities			
Other payables	12	105,091	100,383
Accrued liabilities		16,726	7,714
		<u>121,817</u>	<u>108,097</u>
Total equity and liabilities		<u>129,071</u>	<u>113,360</u>

These financial statements were approved by the Board of Directors on 21 May 2013 and signed on its behalf by:


Dayananda Somaya Shetty
Director

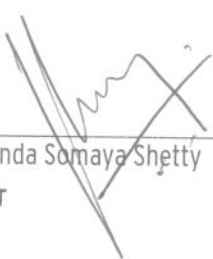
The notes on pages 9 to 15 form an integral part of these financial statements.

Mindteck Middle East Limited SPC
Statement of comprehensive income
For the year ended 31 March 2013

(in Bahraini Dinars)

	Note	2013	2012
Income			
Revenue		335,759	297,830
Direct costs		(275,276)	(226,919)
Gross profit		60,483	70,911
Loss on foreign exchange		(154)	(903)
		60,329	70,008
Expenses			
Employee cost	13	40,496	28,417
General and administrative expenses	14	18,737	14,575
Depreciation	5	910	916
		60,143	43,908
Profit for the year		186	26,100
Other comprehensive income		-	-
Total comprehensive income for the year		186	26,100

These financial statements were approved by the Board of Directors on 21 May 2013 and signed on its behalf by:


Dayananda Somaya Shetty
Director

The notes on pages 9 to 15 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity

For the year ended 31 March 2013

(in Bahraini Dinars)

	Share capital	Statutory reserve	Retained earnings	Total
2012				
At 31 March 2011	50,000	7,909	(79,191)	(21,282)
Profit for the year	-	-	26,100	26,100
Transferred to statutory reserve	-	2,610	(2,610)	-
At 31 March 2012	50,000	10,519	(55,701)	4,818
2013				
At 31 March 2012	50,000	10,519	(55,701)	4,818
Profit for the year	-	-	186	186
Transferred to statutory reserve	-	19	(19)	-
At 31 March 2013	50,000	10,538	(55,534)	5,004

Mindteck Middle East Limited SPC

Statement of cash flows

For the year ended 31 March 2013

(in Bahraini Dinars)

	2013	2012
Cash flows from operating activities:		
Profit for the year	186	26,100
Adjustments for:		
Depreciation	910	916
Employee terminal benefits	1,805	445
Provision for doubtful receivables	-	896
Changes in operating assets and liabilities		
Trade and other receivables	(4,192)	(16,856)
Advances and prepayments	1,383	139
Other payables	4,708	(9,586)
Accrued liabilities	9,012	(794)
Net cash generated from operating activities	13,812	1,260
Cash flows from investing activities:		
Purchase of property, plant and equipment	(199)	-
Net cash used in investing activities	(199)	-
Net increase in cash and cash equivalents	13,613	1,260
Cash and cash equivalents at the beginning of the year	36,241	34,981
Cash and cash equivalents at the end of the year (note:8)	49,854	36,241

Mindteck Middle East Limited SPC

Notes to the financial statements

For the year ended 31 March 2013

1. Legal status and nature of business

Mindteck Middle East Limited SPC is a single person company registered with Ministry of Industry and Commerce, Kingdom of Bahrain, under the commercial registration number 49063-01 dated 27 July 2002.

The principle activity of the Company is to provide (i) Consultancy services for computer system use and operation (ii) Computer software design, development and maintenance and (iii) Consultancy for computer hardware and software.

2. Basis of preparation

Statement of compliance

These financial statements have been prepared in accordance with, and comply with, International Financial Reporting Standards (IFRSs), issued by the International Accounting Standards Board (IASB), and the applicable provisions of the Bahrain Commercial Companies Law Decree No. 21 of 2001.

Basis of measurement

These financial statements have been prepared under the historical cost convention except for any modifications required by IFRSs referred to in the accounting policies given below, and are prepared in Bahraini Dinars (BD) which is the functional currency of the Company.

The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Company's accounting policies.

Going concern

These financial statements are prepared on the basis that the Company is a going concern and will continue in operations for the foreseeable future and it has no intention or necessity to liquidate.

3. Significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and impairment, if any. Depreciation is charged to the statement of comprehensive income by applying the straight line method to allocate cost over their estimated useful life at the following annual rates:

Furniture and equipment	25%
Motor vehicles	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of deletion.

Mindteck Middle East Limited SPC

Notes to the financial statements

For the year ended 31 March 2013

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each statement of financial position date. Assets that are subject to amortization are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use.

Major renewals and improvements are capitalized. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized in the statement of comprehensive income during the financial period in which they are incurred.

Gains and losses on the disposal of property, plant and equipment are recognized in the period in which disposal is made and dealt with through the statement of comprehensive income.

Trade and other receivables

Trade and other receivables are recognized initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of trade and other receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

Cash and cash equivalents

Cash and cash equivalent comprises of bank balance.

Employee benefits and entitlements*Employee terminal benefits*

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organization in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of comprehensive income in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The contract employees are not eligible for the leaving indemnity in accordance to their terms of contract. The Company accrues for its liability in this respect on an annual basis.

Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

Other payables

Other payables are recognized initially at the transaction price and subsequently measured at amortized cost using the effective interest method.

Related party transactions

Related parties comprise the owner, directors and such other entities over which the Company, its owner or its directors can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the service rendered in the ordinary course of the company's activities. Revenue is shown net of rebates and discounts.

The company recognise revenue when the amount of revenue can be reliably measured; it is probable that future economic benefits will flow to the entity.

Revenue from services is recognized on basis of the terms of contract.

Other income is recognised on accrual basis unless the collection is in doubt.

Leases

Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the statement of comprehensive income on a straight-line basis over the period of the lease.

4. Critical accounting judgements and key estimations

The preparation of financial statements in conformity with approved IFRSs requires use of certain critical accounting estimates, judgments and assumptions. These are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Followings are the critical accounting estimates, judgments and assumptions used in preparing these financial statements:

Economic useful lives of property, plant and equipment;
Provisions;
Contingencies; and
Impairments.

Economic useful lives of property, plant and equipment

The Company reviews useful life and residual value of property plant and equipment on regular basis. Any change in estimates may affect the carrying amounts of the respective items of property, plant and equipment with a corresponding effect on the depreciation charge.

Provisions

Provisions are recognized when there are present, legal or constructive obligations as a result of past events, it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognized when intimated and reasonable certainty exists to settle the obligations.

Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

Impairments*Impairment of financial assets*

The Company assesses at each statement of financial position date whether there is objective evidence that a financial asset or a group of financial assets is impaired.

Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each financial position date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognized in the statement of comprehensive income. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. A reversal of the impairment loss is restricted to the original cost of the asset.

5. Property, plant and equipment

	Furniture and equipment	Motor vehicle	Total
Cost:			
At 31 March 2012	2,958	6,000	8,958
Additions during the year	199	-	199
At 31 March 2013	3,157	6,000	9,157
Accumulated Depreciation:			
At 31 March 2012	2,914	4,000	6,914
Charge for the year	13	897	910
At 31 March 2013	2,927	4,897	7,824
Carrying amount:			
At 31 March 2012	44	2,000	2,044
At 31 March 2013	230	1,103	1,333

6. Trade and other receivables

	2013	2012
Trade receivables	96,341	96,562
Provision for doubtful receivables (note: 6.1)	(25,987)	(25,987)
	70,354	70,575
Unbilled revenue	3,880	-
Receivables from related parties (note 6.2)	1,684	1,151
	75,918	71,726

6.1 Provision for doubtful receivables

	2013	2012
Opening balance	25,987	25,091
Provision made during the year	-	896
	<u>25,987</u>	<u>25,987</u>

6.2 Receivables from related parties

	Relationship	2013	2012
Mindteck India Limited	Parent company	1,684	1,151
		<u>1,684</u>	<u>1,151</u>

7. Advances and prepayments

	2013	2012
Advance to employees	578	1,507
Prepayments	1,388	1,842
	<u>1,966</u>	<u>3,349</u>

8. Bank balance

	2013	2012
HSBC Middle East Limited	49,854	36,241
	<u>49,854</u>	<u>36,241</u>

9. Share capital

The share capital of the Company is BD 50,000 (2012: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

10. Statutory reserve

Under the provisions of the Bahrain Commercial Companies Law, an amount equivalent to 10% of the Company's net profit before appropriations is required to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year BD 19 has been transferred to such reserve out of current year's net profit before appropriations (2012: BD 2,610).

11. Employee terminal benefits

	2013	2012
Opening balance	445	-
Provision for the year	1,805	445
	<u>2,250</u>	<u>445</u>

Mindteck Middle East Limited SPC

Notes to the financial statements

For the year ended 31 March 2013

*(in Bahraini Dinars)***12. Other payables**

	<u>2013</u>	<u>2012</u>
Other payables	15,302	15,590
Payable to related parties (note : 12.1)	89,789	84,793
	<u>105,091</u>	<u>100,383</u>

12.1 Payable to related parties

	<u>2013</u>	<u>2012</u>
	<u>2013</u>	<u>2012</u>
Mindteck India Limited	363	14,184
Mindteck Inc, USA	89,426	70,609
	<u>89,789</u>	<u>84,793</u>

13. Employee cost

	<u>2013</u>	<u>2012</u>
Salary	26,972	19,524
Employee related cost	13,524	8,893
	<u>40,496</u>	<u>28,417</u>

14. General and administrative expenses

	<u>2013</u>	<u>2012</u>
Rent	4,879	5,446
Travelling	6,501	3,626
Communication	1,869	1,440
Provision for doubtful receivables	-	896
Professional and legal charges	1,567	918
Marketing and distribution expenses	764	-
Bank charges	713	64
Office expenses	1,366	1,102
General expenses	1,078	1,083
	<u>18,737</u>	<u>14,575</u>

15. Contingencies and commitments

There were no material contingencies known as at the date of the financial position.

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

	<u>2013</u>	<u>2012</u>
No later than 1 year	4,011	6,017
Later than 1 year and no later than 5 years	-	4,011
	<u>4,011</u>	<u>10,028</u>

16. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balance and trade and other receivables. Financial liabilities include trade and other payables. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk. Credit risk on liquid funds is limited because the counter parties are banks with reasonably high credit ratings.

Maximum exposure to credit risk before other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2013	2012
Bank balance	49,854	36,241
Trade and other receivables	75,918	71,726
	<u>125,772</u>	<u>107,967</u>

Foreign exchange risk

The risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company's transactions are either in Bahraini Dinars or United States Dollars, hence there is no significant foreign exchange risk.

Liquidity risk

It is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Company's liquidity management process includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met; and
- Monitoring liquidity ratios against internal and regulatory requirements.

Fair value of financial assets and liabilities

The carrying value of all financial assets and liabilities reflected in the financial statements approximate their fair values at the statement of financial position date.

17. Rounding off

All the figures have been rounded off to the nearest Bahraini Dinar.

18. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison.